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Investigation report

MAU +20% QoQ, revenue flat: what is happening and what to do

MAU is up 20% QoQ but revenue is flat. Board meeting Thursday. Figure out what's happening and what we should do about it.

Data

PocketToons synthetic fixture, pockettoons.sqlite (read-only)
Q3 2026 (Jul-Sep) vs Q2 2026 (Apr-Jun), UTC calendar months

Snapshot

layer build log
Build 3a0dbed2

Run

Independent (no answer keys, guides or generator README read)
2026-11-10
18 queries

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How to read this report

- **Check N** = one logged read-only query. Each logs/qNN.jsonl holds its SQL, parameters, layer, version, limitations and rows (inputs in requests/qNN.json). No query was truncated or failed.
- **Data layers:** Gold = pre-built monthly summary tables, Silver = cleaned detail tables, Bronze = raw source records.
- **Quarter figures:** quarter MAU is the average of its three monthly MAUs; quarter revenue is the sum of its three months.
- **Patterns, not proof:** the data is observational and synthetic. Where the report says a pattern is 'associated with' something, the cause has not been proven.

Terms used in this report

Term	Meaning
MAU (v1.1)	Distinct identified users with at least one session overlapping the UTC month. Logged-out sessions with no same-session login are excluded.
Net revenue (v1.1)	Successful subscription and PPV charges minus successful refunds, booked when the payment succeeds. Net of refunds only (no fees or tax data).
Paying users	Users with at least one successful subscription or PPV charge in the month.
Paywall-exposed users	Distinct identified users who saw at least one paywall in the month (paywall_exposure).
30-day paywall reach	Share of a signup cohort that saw a paywall within 30 days of signup (ad hoc, built on registered cohort rules).
Acquisition source	The user's fixed first-touch channel: organic, paid search, paid social or unknown.

01. Chapter

The answer

01

The premise holds: average MAU rose 20.0% while net revenue rose 0.07%. The extra users, mostly paid-social signups, are not reaching the paywall. About 1,000 people see a paywall each month, so the paying base stays at about 1,000 subscribers on a $9.99 plan.

+20.0%

Avg monthly MAU, Q3 vs Q2
9,016 → 10,819 (check 17)

+0.07%

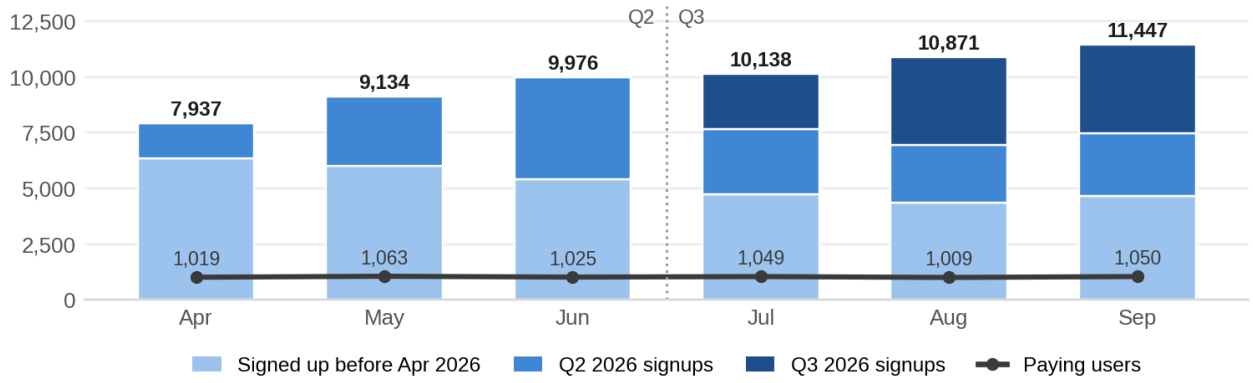
Net revenue, Q3 vs Q2
$30,145 → $30,167 (check 17)

1,036

Avg monthly paying users
in both Q2 and Q3 (check 17)

Monthly active users by signup period; paying users as a line

MAU v1.1 partitioned by user signup date; paying users per revenue group v1.1



Source: Silver user-day activity, user profile and payment attempts (check 14); Gold KPI table for paying users (check 2). UTC months, 2026.

- **Where the growth came from:** paid-social MAU rose by 1,841 a month on average, more than the total gain of 1,803. Paid-social spend rose 121% (checks 5, 7).
- **Why revenue stayed flat:** 99.3% of revenue is subscriptions. About 100 subscribers lapse each month and about 100 join, so the base stays at about 1,000 (checks 2, 17).
- **Where the path breaks:** paywall viewers stayed at about 1,000 a month while MAU grew. 30-day paywall reach for new signups fell from 4.4% (May) to 0.5% (August). Conversion after the paywall did not get worse (checks 8, 13).
- **Cost:** Q3 paid social cost $30,760 and brought 67 new paying users, about $459 each (check 7).

Recommendation in one line: Tell the board that the MAU growth is paid reach that has not monetised yet. Cap further paid-social scale-up until a payback check passes. Make getting new users to their first paywall the Q4 priority.

02. Chapter

How we investigated

02

What data we used

Item	Detail
Periods	Q2 = Apr-Jun 2026, Q3 = Jul-Sep 2026; complete UTC months, half-open.
Definitions	mau 1.1, revenue 1.1, growth accounting 1.0, funnel and lifecycle 1.0, engagement 1.0, supporting 1.1 (from the build log, check 1). Slices by source and cohort are labelled ad hoc.
Data	pockettoons.sqlite, read-only. Build 3a0dbed2 (2026-11-09) with all layers. The repo copy has no git metadata, so the commit is unverified; the registry hash corresponds to commit 7240dfe (documentation-only change since the build).
Start-up caveat	Subscriptions start from zero in April, so funnel and cohort trends are read from May. Without April: MAU +13.2%, revenue -0.8% (check 17).

Investigation path

How to read: Gold monthly summary tables Silver cleaned detail Bronze raw records
Supported evidence agrees **Rejected** evidence disagrees **Inconclusive** evidence can't decide

Start

Check the build and test the premise.

Passed Gold **Build reconciled; MAU +20%, revenue flat?** (check 1, 2, 17)
Yes: MAU +20.0%, net revenue +0.07%, paying users flat.

Round 1

Who are the new users, and what limits revenue?

Supported Gold **H1 Growth comes from one low-monetising channel** (check 3, 5, 6, 7)
Paid social accounts for all of the net MAU gain.

Supported Gold **H2 Revenue is capped by a flat subscriber base** (check 2, 4)
About 1,000 subscribers at $9.99.

Rejected Silver **H3 The new users are low-quality or barely engaged** (check 6, 11)
Activation 51-55% in every cohort.

Round 2

Paywall reach, paywall conversion or price?

Rejected Gold **H4 Paywall-to-purchase conversion got worse** (check 4, 8)
No trend from May to September.

Supported Silver **H5 Paywall reach did not grow with MAU** (check 8, 10, 13, 14)
About 1,000 viewers a month.

Rejected Gold **H6 Price, PPV or refunds pulled revenue down** (check 2, 4, 17)
ARPPU $9.68-9.74.

Round 3

What lies behind the low paywall reach?

Inconclusive Bronze **H7 Fewer blocked-playback triggers** (check 9, 12)
Blocked plays (about 200 a month) explain few paywall views.

Rejected Bronze **H8 More content was made free** (check 15)
1 of 337 episode tiers changed (in July).

Rejected Silver **H9 Measurement artefact inflates MAU** (check 1, 16)
Build reconciled.

03. Chapter

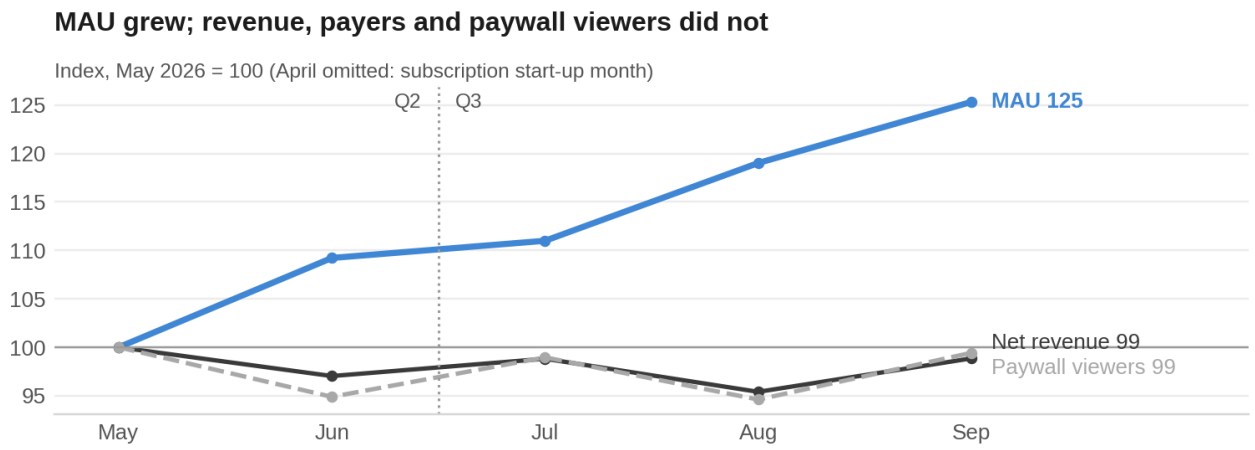
What happened

03

The movement

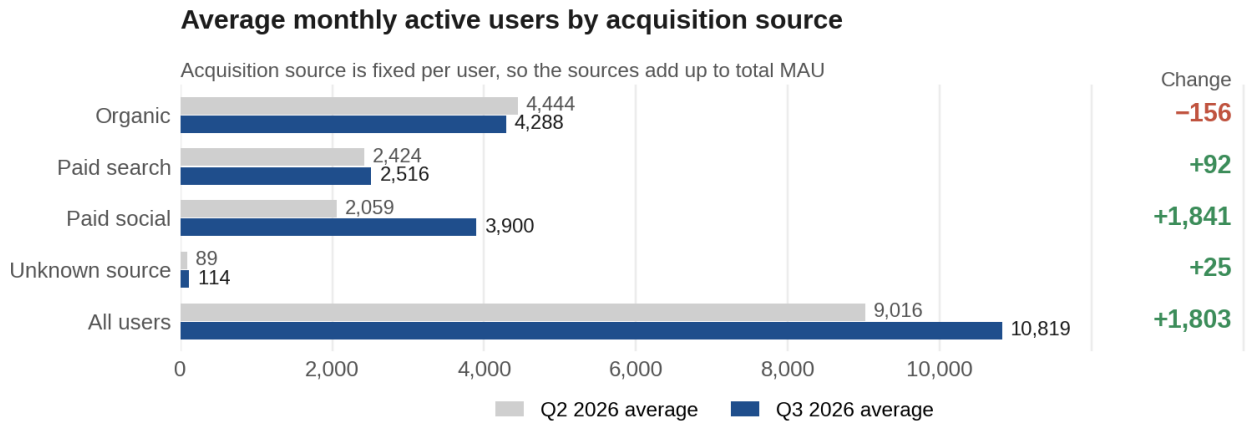
Metric (definition)	Q2 2026	Q3 2026	Change
Avg monthly MAU (mau 1.1)	9,015.7	10,818.7	+20.0%
Net revenue, sum (revenue 1.1)	$30,145.00	$30,166.97	+0.07%
of which subscription	$29,940.03	$29,960.01	+0.07%
of which PPV	$204.97	$206.96	+1.0%
Avg monthly paying users	1,035.7	1,036.0	0.0%
ARPU, avg of monthly ratios	$1.12	$0.93	-17%
Signups, sum	6,454	7,146	+10.7%

Sources: checks 2, 4 and 17. Revenue is additive across months. MAU and paying users are distinct counts, so they are averaged and never summed.



Source: Gold KPI table (check 2) and Gold funnel table (check 8). Net revenue in cents; paywall viewers = distinct identified users who saw a paywall.

Who drove it



Source: Gold activity segments, acquisition_source dimension (check 5).

How the +1,803 change adds up (average monthly MAU)

Paid social +1,841.3; paid search +92.0; unknown +25.3; organic -155.7

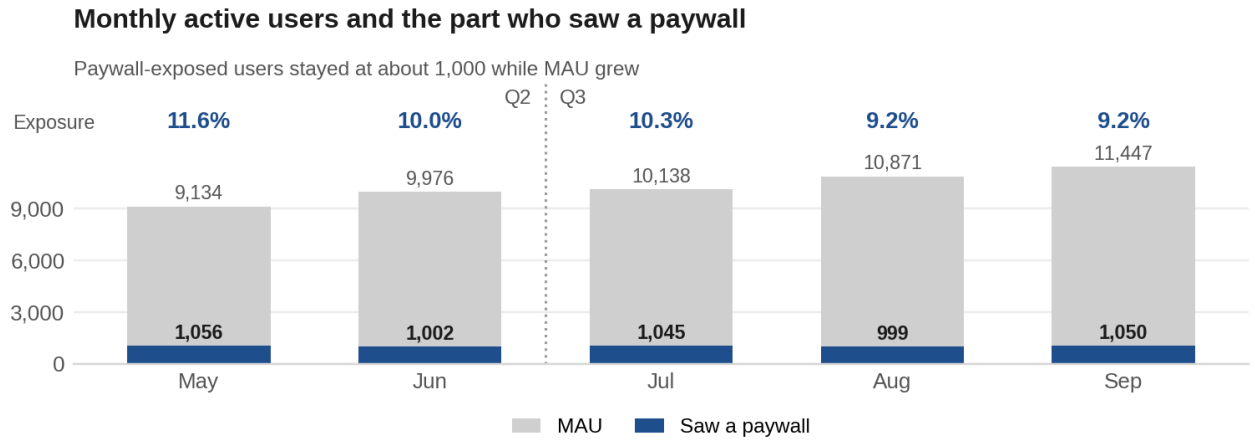
Total: 9,015.7 + 1,803.0 = 10,818.7 (paid social = 102% of the net gain)

- **Paid social spend:** $13,918 in Q2 and $30,760 in Q3 (+121%). Paid-social signups went from 1,489 to 4,568 (check 7). Spend ramped in July, the same month paid-social MAU jumped from 2,299 to 3,358 (check 5). The timing matches, but this does not prove the spend caused the growth: there is no click-level attribution.
- **Growth accounting:** retained users stayed at about 4,400-5,070 a month. Growth came from new signups (1,720-2,949 a month) and returning users (2,176 rising to 4,656), while churned users rose from 3,180 to 5,800 (check 3).
- **The old base is shrinking and still carries revenue:** users who signed up before April fell from 6,337 to 4,659 active, and their payers from 1,019 to 693. Payers from Q2 signups (303 a month in Q3) only replaced that loss. Q3 signups had 54 payers by September (check 14).

04. Chapter

Why it happened

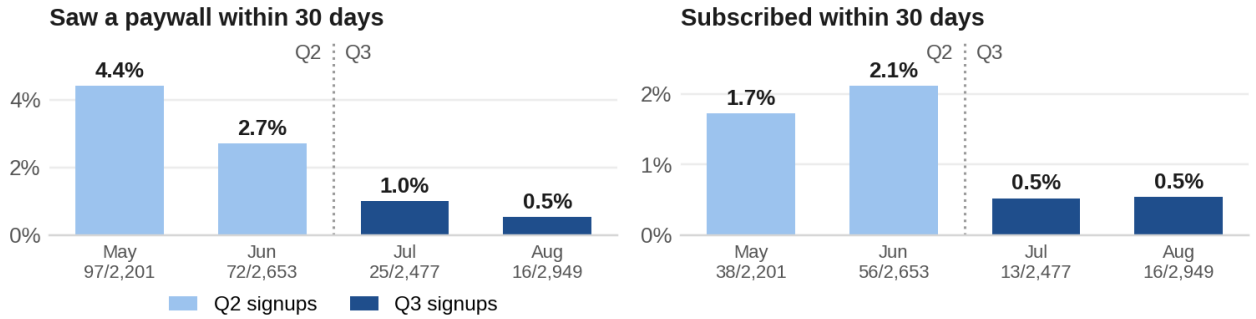
04



Source: Gold funnel table, all-products row (check 8). April (1,838 of 7,937) is omitted as the subscription start-up month.

New signups: paywall reach and subscription within 30 days

Share of each signup-month cohort (all sources); 7-day activation stayed at 51-55% for these cohorts



Source: Silver user profile and paywall funnel (checks 6, 13); subscription conversion and activation reconcile exactly with Gold cohorts (check 18). September signups do not yet have a full 30-day window.

#	Possible explanation	Status	What the data showed
H1	Growth is from a low-monetising channel	**Pattern supported**	Paid social is 102% of the net MAU gain. Its exposure rate fell from 10-12% (Q2) to 6.1-6.9% (Q3), while other sources stayed at 9.5-12.4% (checks 5, 10).
H2	Revenue capped by a flat subscriber base	**Supported**	977-1,023 subscribers at every month-end; about 100 churn a month and are replaced by about 100 new subscribers (check 2).
H3	New users are low-quality	**Rejected**	Q3 paid-social users watched 28.5-31 minutes a month, against 32-34 for others; 57-59% were engaged, against 59-62% (check 11). The gap is small.
H4	Paywall conversion got worse	**Rejected**	Paywall-to-purchase rate was 9.9-14.7% from May to September, alternating month to month with no trend (check 8).
H5	Paywall reach did not scale	**Supported**	About 1,000 paywall viewers every month; new-cohort 30-day reach fell from 4.4% to 0.5% in all channels (checks 8, 13).
H6	Price, PPV or refunds	**Rejected**	ARPPU $9.68-9.74; PPV about $69 a month; refunds of $2-14 a month (checks 2, 4).
H7	Fewer blocked-playback triggers	**Inconclusive**	About 200 blocked plays a month against 1,000+ paywall views, so most paywall triggers are not recorded. Free-quota hit rate fell from 0.84% to 0.68% (checks 9, 12).
H8	More free content	**Rejected**	One episode tier change in July; subscriber views flat at about 7,000-7,500 a month (check 15).
H9	Measurement artefact	**Rejected**	Layers reconciled; exceptions limited to 13 reviewed payment corrections (checks 1, 16).

Not yet known: Why new users increasingly fail to reach a paywall in their first 30 days. The data has no in-app navigation or recommendation events, so the cause cannot be identified from this data. It needs instrumentation or an experiment.

05. Chapter

Data quality and limits

05

Data quality

Issue	Effect on the answer	Status
Subscription start-up in April 2026 (0 subscribers at 1 April)	Inflates April paywall views, purchases and first payments. Funnel and cohort trends are read from May. Headline conclusions hold without April (MAU +13.2%, revenue -0.8%).	Handled; disclosed
Logged-out sessions: 6.5% (Apr) to 7.6% (Sep) of sessions have no identified user	Excluded from MAU by definition, and they grew roughly in line with sessions. Counting them would only add reach that also does not pay, so the conclusion does not change.	Known limitation
13 raw payment amounts corrected on review	Curated amounts are already used in revenue. These are the only Silver exceptions (check 16).	Reviewed; no impact
Purchase attribution only through captured links (about 5% of checkouts unlinked)	Funnel rates are slightly understated; in-app purchases without a checkout link are 1-7 a month (check 8).	Minor; disclosed
One unidentified session spans the Aug/Sep boundary (3,703 in Gold vs 3,702 by start month)	Immaterial. Noted because the registry says no fixture session crosses a month boundary.	Open, immaterial

Limitations

- Synthetic, observational data. The channel, timing and funnel patterns are associations. The report does not claim that paid-social spend caused the MAU growth, or that low paywall reach is the only reason revenue stayed flat.
- No lifetime value or payback: the registry marks LTV as unsupported (six months of history), so the $459 per new payer is a monthly ratio of spend to first-time payers, not a cohort payback.
- Paywall triggers are only partly recorded (blocked plays). Exposure-by-source and cohort paywall reach are ad hoc slices, with their SQL logged.
- Revenue is net of refunds only; app-store fees and tax are not in the data.
- Q3 cohorts are young: July-September signups may still monetise. Q2 signups reached 303 payers by Q3, so re-check Q3 cohorts in Q4.

06. Chapter

What to do next

06

01 **Reframe the board story.** Present Q3 as paid reach that has not yet monetised. Report subscribers, paywall-exposed users and new payers next to MAU.

02 **Cap paid-social at its July run-rate (about $10k a month) until incrementality and payback are measured**, with a geo or time-based holdout. *Check:* new payers per $1k of paid-social spend (May-Jun 6.7; Q3 2.2).

03 **Make reaching the first paywall the Q4 product priority for new users.** A/B test earlier premium sampling or paywall prompts in week one, and the 8-a-day free quota, which fewer than 1% of free-viewer days reach. *Check:* 30-day paywall reach and subscription conversion by signup month (both 0.5% for August signups).

04 **Instrument paywall triggers and content navigation**, so the fall in paywall reach can be explained, not only observed. *Check:* every paywall view has a recorded trigger.

05 **Protect the subscriber base.** About 100 subscribers (9-11%) lapse each month. Test retention offers. *Check:* monthly churn rate and month-end subscribers.

06 **Re-run this analysis after October and November close.** Confirm whether Q3 cohorts convert with tenure, as Q2 cohorts did.

Appendix

Evidence appendix

A

Check	What it asked	Layer	Log files
1	Build status, metadata and layer objects	Gold	q01
2, 17	Monthly KPIs; Q3 vs Q2 quarter figures, with and without April	Gold	q02, q17
3	Growth accounting (new, retained, resurrected, churned)	Gold	q03
4	Revenue by type; refunds; payment failures	Gold	q04
5	Active users by platform, country, source and subscriber status	Gold	q05
6, 18	Cohort 30-day conversion and activation by source; reconciled with Gold	Silver	q06, q18
7	Marketing spend, signups, new payers and CAC by channel	Gold	q07
8	Paywall funnel and exposure by product	Gold	q08
9, 11	Watch time and free quota (Gold); engagement depth by source (Silver)	Silver	q09, q11
10, 13	Paywall exposure by source; cohort 30-day paywall reach	Silver	q10, q13
12, 15	Blocked-playback reasons; content tier changes and views by type	Bronze	q12, q15
14	Active, exposed and paying users by signup period	Silver	q14
16	Quality exceptions; identity resolution by month	Silver	q16